

## II. Resources

Does the company have any unique resources that its competitors do not have that reduces its cost of production over others?

Let us take the example of 2 mining companies:

**Due to the high quality of mines Company A extracts more minerals and materials with only 25% as waste.**

**Other companies generate 50 % waste in a similar process. As a result company A has a competitive edge due to its resources.**

This is a systematic advantage that others cannot have.

## III. Labour

What is the cost of labour?

Is the company located in a market where cost of labour is lower than its competitors cost of labour? Example: for a long period of time, companies manufactured in China due to its cost advantages due to low labour costs.

## IV. Economies of Scale



Balaji manufactures 1000 units of a product because of their large sale of operation

Due to the large scale of operations, their fixed cost is low. They are in a position to negotiate with the vendor and thus purchase cheaper raw materials.

**Let's say the product is made for Rs 10 each.**



Other chip companies, lets say manufactures 100 units of the same product.

Due to small scale, their fixed cost is higher, and are not able to negotiate with vendors, thus purchasing high-priced raw materials.

**Let's say they manufacture the same product for Rs 9 each.**

This is a clear-cut cost advantage because of economies of scale. 

**We must see that the companies that we consider:**

- **either have a significant cost advantage over others,**
- **or must be doing something that other companies cannot easily duplicate.**

These are the factors that lead to a competitive advantage in the economy. Thus, we saw how brand and cost advantages provide a competitive advantage for the company in which we want to invest.